CAPITAL IMPROVEMENT PLAN

Foxglove Lofts | St. Louis, MO

Property	Foxglove Lofts
Plan Date	August 31, 2022
Prepared For	Sunbelt Ridge Acquisitions
Total Plan Budget	$420,000

Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Signage / monument	Building	08/27/25	Q4 2027	$684,000	$82,906	In progress
Sewer line repair	Site	10/11/25	Q2 2026	$76,000	$42,016	In progress
HVAC replacement	Site	08/08/25	Q3 2027	$749,000	$202,057	Complete
Fence replacement	Interior	06/18/26	Q2 2027	$366,000	$80,820	Complete
Water heater replacement	Site	10/11/26	Q4 2025	$349,000	$297,527	Bidding
LED lighting retrofit	Energy	06/20/25	Q1 2026	$884,000	$78,679	In progress
Door hardware	Interior	10/16/24	Q1 2026	$356,000	$63,317	Deferred
ADA compliance	Building	06/15/23	Q3 2025	$711,000	$533,238	Bidding
ADA compliance	Interior	02/04/24	Q4 2026	$794,000	$439,108	Approved
Fire alarm panel upgrade	Interior	04/27/26	Q4 2025	$348,000	$78,784	Complete
Signage / monument	Site	03/04/24	Q2 2027	$742,000	$287,066	Complete
Storefront glazing	Interior	04/29/24	Q1 2025	$88,000	$15,356	Deferred
Fire alarm panel upgrade	Building	06/16/26	Q4 2027	$661,000	$234,218	Approved
Security camera upgrade	Interior	11/14/24	Q4 2026	$656,000	$456,751	Deferred
Signage / monument	Site	08/09/26	Q1 2026	$645,000	$142,828	Complete
Pool resurfacing	Interior	01/30/24	Q4 2025	$650,000	$151,888	Complete
Storefront glazing	Site	09/25/24	Q2 2026	$504,000	$341,668	In progress
Door hardware	Interior	08/09/25	Q4 2027	$68,000	$58,841	Approved
ADA compliance	Life Safety	04/04/24	Q2 2025	$333,000	$258,636	In progress
Water heater replacement	Life Safety	04/26/26	Q1 2026	$73,000	$34,829	Bidding
ADA compliance	Life Safety	05/04/23	Q2 2025	$119,000	$70,984	In progress
Elevator modernization	Energy	05/06/23	Q4 2026	$750,000	$67,166	Deferred
Water heater replacement	Building	09/01/26	Q4 2025	$110,000	$57,421	Bidding

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Fence replacement	Life Safety	06/24/25	Q2 2026	$591,000	$9,525	Approved
Security camera upgrade	Building	11/05/24	Q3 2025	$124,000	$78,228	Bidding
Door hardware	Building	06/22/24	Q3 2027	$591,000	$489,447	Deferred
Storefront glazing	Life Safety	09/02/23	Q4 2025	$176,000	$183,758	Bidding
Fence replacement	Interior	03/19/24	Q1 2027	$533,000	$232,930	Approved
Exterior paint	Energy	09/06/23	Q4 2025	$292,000	$33,524	Deferred
Sewer line repair	Site	03/03/25	Q1 2025	$619,000	$221,918	Bidding
Sewer line repair	Interior	07/16/25	Q1 2025	$854,000	$78,529	Deferred
Fence replacement	Energy	08/09/23	Q2 2027	$792,000	$607,746	In progress
ADA compliance	Energy	07/16/26	Q1 2027	$416,000	$391,462	Bidding
Fire alarm panel upgrade	Life Safety	02/20/24	Q1 2026	$500,000	$200,160	Complete
Unit interior upgrades	Energy	09/03/23	Q2 2027	$635,000	$479,288	Deferred
Lobby renovation	Interior	01/16/25	Q1 2026	$600,000	$601,784	In progress
Door hardware	Energy	11/20/24	Q3 2026	$403,000	$389,704	Approved
Storefront glazing	Building	03/19/24	Q1 2027	$433,000	$333,861	Complete
Exterior paint	Energy	07/19/26	Q2 2025	$413,000	$267,094	Deferred
Storefront glazing	Energy	05/28/24	Q2 2026	$183,000	$15,708	Approved
Roof replacement - Bldg A	Life Safety	02/18/24	Q4 2025	$420,000	$140,310	Bidding
Security camera upgrade	Energy	03/02/25	Q4 2026	$574,000	$298,352	Complete
Pool resurfacing	Building	10/24/25	Q2 2026	$188,000	$63,635	Bidding
LED lighting retrofit	Building	11/05/23	Q3 2025	$355,000	$356,364	Deferred
LED lighting retrofit	Site	03/16/24	Q3 2026	$87,000	$34,357	Approved
Fence replacement	Interior	01/29/24	Q4 2026	$217,000	$26,280	Deferred
Roof replacement - Bldg B	Interior	05/25/25	Q3 2027	$315,000	$147,625	Bidding
Water heater replacement	Building	07/15/26	Q2 2025	$143,000	$864	Complete
HVAC replacement	Energy	04/24/26	Q1 2027	$810,000	$648,121	In progress
Elevator modernization	Building	12/11/24	Q1 2027	$487,000	$188,061	Deferred
Signage / monument	Site	07/03/25	Q4 2025	$118,000	$42,997	In progress
Amenity renovation	Building	11/19/25	Q2 2025	$484,000	$205,487	Deferred
Unit interior upgrades	Life Safety	12/11/24	Q2 2026	$248,000	$64,865	Deferred
Storefront glazing	Life Safety	05/21/25	Q1 2027	$745,000	$541,036	Approved
LED lighting retrofit	Life Safety	03/10/24	Q1 2027	$664,000	$83,082	In progress
Water heater replacement	Energy	05/17/26	Q4 2026	$772,000	$35,886	Bidding
Roof replacement - Bldg A	Life Safety	01/28/24	Q3 2025	$725,000	$133,875	Bidding
Sewer line repair	Interior	10/16/23	Q3 2026	$727,000	$620,691	Complete
Fire alarm panel upgrade	Interior	05/09/26	Q3 2025	$243,000	$84,067	Bidding
Unit interior upgrades	Energy	01/20/25	Q1 2025	$634,000	$4,423	In progress
Fence replacement	Building	06/13/26	Q1 2026	$586,000	$570,180	Bidding
Exterior paint	Building	03/29/24	Q2 2025	$256,000	$91,453	In progress
Signage / monument	Interior	03/04/26	Q4 2026	$764,000	$688,364	Approved
Parking lot resurfacing	Life Safety	01/07/24	Q3 2027	$409,000	$334,940	Complete

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Recommendations

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $200,000. Elevators were last modernized 10 years ago and are operating without deficiency. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 9 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $174,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Distributions to investors for the quarter were paid at an annualized rate of 6.1% on contributed capital. Resident turnover has averaged 2.7% annually with renewal retention above 91.6%. Projected levered IRR is 12.3% with an equity multiple of 1.10x over the hold period.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes.

Recommendations

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $89,000. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 5 years ago and are operating without deficiency. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Domestic water piping is copper and PVC with no evidence of widespread leakage. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 20 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

Investment Overview

Resident turnover has averaged 3.0% annually with renewal retention above 88.9%. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Projected levered IRR is 6.0% with an equity multiple of 1.42x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The business plan contemplates a hold period of 3 years with disposition upon achievement of target returns.

The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Projected levered IRR is 8.4% with an equity multiple of 1.33x over the hold period. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park.

Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $295,000. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 6 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $236,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 5 years ago and are operating without deficiency.

Business Plan Progress

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Roof replacement - Bldg D	Interior	09/06/25	Q1 2027	$809,000	$746,151	In progress
Parking lot resurfacing	Building	11/15/23	Q2 2026	$331,000	$132,795	Deferred
Unit interior upgrades	Life Safety	04/04/26	Q3 2027	$38,000	$21,492	Deferred
Sewer line repair	Site	04/14/23	Q2 2026	$644,000	$401,022	In progress
Fire alarm panel upgrade	Interior	04/01/25	Q1 2026	$293,000	$114,665	In progress
Parking lot resurfacing	Building	01/02/25	Q2 2025	$574,000	$438,390	Complete
Fence replacement	Interior	11/09/23	Q4 2027	$799,000	$267,309	Approved
Landscape / irrigation	Interior	04/04/23	Q3 2026	$211,000	$183,685	Complete
LED lighting retrofit	Building	10/19/24	Q2 2027	$402,000	$412,483	Deferred
ADA compliance	Energy	11/03/26	Q3 2025	$621,000	$483,703	Deferred
Water heater replacement	Energy	10/24/25	Q1 2027	$427,000	$87,348	Deferred
Lobby renovation	Interior	02/24/25	Q1 2026	$109,000	$47,898	Bidding
Amenity renovation	Life Safety	10/08/25	Q4 2026	$175,000	$76,898	In progress
Signage / monument	Life Safety	01/10/26	Q4 2025	$563,000	$466,957	In progress
Amenity renovation	Building	11/25/26	Q1 2025	$43,000	$13,341	Bidding
Sewer line repair	Site	05/29/26	Q2 2027	$430,000	$253,659	In progress
Door hardware	Site	03/30/25	Q2 2025	$754,000	$7,841	Complete
HVAC replacement	Life Safety	07/16/24	Q4 2026	$242,000	$252,452	In progress
LED lighting retrofit	Energy	12/01/23	Q2 2025	$177,000	$122,490	Approved
Lobby renovation	Building	06/11/25	Q2 2025	$471,000	$115,737	Complete
Amenity renovation	Energy	04/10/26	Q4 2026	$102,000	$69,879	Bidding
Door hardware	Energy	02/19/25	Q2 2026	$559,000	$11,864	Deferred
Elevator modernization	Life Safety	11/23/25	Q3 2027	$261,000	$145,532	In progress
Security camera upgrade	Life Safety	09/02/26	Q1 2026	$680,000	$11,097	Bidding
Signage / monument	Energy	09/19/23	Q2 2027	$677,000	$351,964	Deferred
Exterior paint	Site	05/23/26	Q1 2026	$619,000	$163,906	Complete
ADA compliance	Life Safety	02/06/26	Q1 2025	$214,000	$178,788	Approved
Fire alarm panel upgrade	Interior	02/11/23	Q2 2026	$581,000	$471,334	In progress
Amenity renovation	Site	11/19/23	Q2 2027	$9,000	$8,634	Bidding
LED lighting retrofit	Energy	09/18/23	Q4 2025	$57,000	$47,757	Bidding
Roof replacement - Bldg A	Energy	03/07/25	Q3 2026	$830,000	$506,850	Approved
Unit interior upgrades	Building	10/15/24	Q1 2026	$872,000	$844,927	In progress
Storefront glazing	Life Safety	05/15/24	Q4 2027	$752,000	$300,952	Deferred
Elevator modernization	Site	08/11/24	Q3 2027	$807,000	$159,798	Complete
Security camera upgrade	Interior	05/03/24	Q4 2025	$96,000	$21,539	Approved
Elevator modernization	Life Safety	03/03/26	Q3 2026	$852,000	$62,426	In progress
Lobby renovation	Interior	11/20/25	Q2 2025	$88,000	$55,601	In progress
Fence replacement	Interior	05/11/26	Q1 2025	$270,000	$29,246	Deferred
LED lighting retrofit	Interior	07/09/24	Q4 2025	$779,000	$337,984	Deferred
Exterior paint	Building	01/16/24	Q1 2027	$894,000	$170,835	Deferred

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Deferred Maintenance

ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $59,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 28 months. Elevators were last modernized 7 years ago and are operating without deficiency.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Domestic water piping is copper and PVC with no evidence of widespread leakage. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 27 months.

Investment Overview

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Projected levered IRR is 10.4% with an equity multiple of 1.21x over the hold period. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Leasing velocity improved during the period and management expects further upward pressure on in-place rents. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 11.3% with an equity multiple of 1.47x over the hold period. The business plan contemplates a hold period of 6 years with disposition upon achievement of target returns.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Elevators were last modernized 4 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 12 years ago and are operating without deficiency. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 15 months.

Risk Considerations

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Resident turnover has averaged 8.6% annually with renewal retention above 92.9%. Projected levered IRR is 5.4% with an equity multiple of 1.35x over the hold period. The business plan contemplates a hold period of 5 years with disposition upon achievement of target returns.

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Distributions to investors for the quarter were paid at an annualized rate of 6.4% on contributed capital. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Projected levered IRR is 2.8% with an equity multiple of 1.22x over the hold period.

Deferred Maintenance

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 18 months. Elevators were last modernized 8 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $243,000. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Elevators were last modernized 10 years ago and are operating without deficiency.

Risk Considerations

Distributions to investors for the quarter were paid at an annualized rate of 6.7% on contributed capital. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Projected levered IRR is 7.7% with an equity multiple of 1.3x over the hold period.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
HVAC replacement	Site	09/23/25	Q4 2027	$893,000	$892,130	In progress
Door hardware	Life Safety	04/01/23	Q3 2025	$538,000	$37,287	Bidding
Door hardware	Interior	03/05/26	Q3 2026	$746,000	$528,795	Bidding
Unit interior upgrades	Interior	08/21/24	Q3 2027	$687,000	$494,461	Deferred
Lobby renovation	Building	08/29/24	Q4 2025	$896,000	$160,878	Bidding
Water heater replacement	Interior	09/15/23	Q4 2027	$59,000	$47,420	Bidding
ADA compliance	Energy	07/14/25	Q4 2025	$239,000	$54,072	In progress
HVAC replacement	Building	02/07/24	Q1 2025	$618,000	$147,116	Deferred
Lobby renovation	Interior	08/06/26	Q3 2026	$548,000	$279,921	Approved
Amenity renovation	Interior	05/12/23	Q4 2027	$809,000	$238,688	Bidding
Security camera upgrade	Life Safety	10/21/25	Q1 2025	$448,000	$107,057	In progress
HVAC replacement	Site	04/30/24	Q3 2026	$706,000	$215,876	Bidding
Security camera upgrade	Energy	10/20/25	Q4 2025	$836,000	$709,153	Bidding
Pool resurfacing	Building	01/08/25	Q1 2025	$588,000	$560,847	In progress
LED lighting retrofit	Site	01/28/25	Q3 2026	$278,000	$151,297	Approved
Signage / monument	Interior	05/23/24	Q1 2026	$369,000	$81,766	Deferred
Roof replacement - Bldg D	Site	07/16/24	Q2 2026	$659,000	$138,038	Bidding
Parking lot resurfacing	Interior	12/02/23	Q1 2027	$378,000	$261,104	Deferred
Security camera upgrade	Site	10/25/25	Q2 2025	$311,000	$151,258	Approved
Unit interior upgrades	Energy	06/18/24	Q4 2027	$555,000	$436,983	Approved
Elevator modernization	Site	10/26/23	Q1 2026	$537,000	$288,966	Deferred
ADA compliance	Interior	06/27/25	Q4 2025	$891,000	$673,201	Approved
LED lighting retrofit	Interior	02/01/26	Q4 2025	$764,000	$350,290	Deferred
Unit interior upgrades	Interior	03/01/25	Q2 2027	$370,000	$295,444	Approved
Fence replacement	Building	05/09/26	Q4 2025	$455,000	$20,162	Bidding
Water heater replacement	Site	09/12/23	Q4 2026	$866,000	$437,289	Complete
Door hardware	Life Safety	08/20/23	Q1 2026	$381,000	$323,928	Approved
Parking lot resurfacing	Site	05/03/26	Q1 2027	$235,000	$77,785	In progress
ADA compliance	Site	01/20/23	Q1 2025	$240,000	$141,091	In progress
Fire alarm panel upgrade	Energy	03/08/26	Q1 2025	$622,000	$259,083	Complete
Elevator modernization	Interior	02/18/26	Q2 2026	$436,000	$174,091	In progress
LED lighting retrofit	Interior	02/14/23	Q2 2026	$323,000	$284,112	Bidding
Exterior paint	Energy	08/17/25	Q2 2025	$541,000	$40,714	Bidding
ADA compliance	Interior	11/06/23	Q1 2027	$182,000	$151,176	Complete
Fire alarm panel upgrade	Energy	02/12/24	Q3 2027	$414,000	$154,317	Complete
Unit interior upgrades	Building	10/13/25	Q4 2025	$874,000	$744,781	In progress
ADA compliance	Site	11/09/24	Q3 2027	$721,000	$742,672	Approved
Landscape / irrigation	Site	08/18/23	Q1 2026	$570,000	$332,521	Approved
Security camera upgrade	Energy	10/25/24	Q1 2025	$870,000	$434,962	Approved
Exterior paint	Building	12/09/24	Q2 2026	$629,000	$611,367	Bidding
HVAC replacement	Building	04/25/25	Q4 2027	$565,000	$175,077	Deferred

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Recommendations

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Domestic water piping is copper and PVC with no evidence of widespread leakage. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $371,000. Elevators were last modernized 3 years ago and are operating without deficiency.

Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Elevators were last modernized 4 years ago and are operating without deficiency. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months.

Risk Considerations

The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 9.9% with an equity multiple of 1.27x over the hold period. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market. Resident turnover has averaged 8.9% annually with renewal retention above 96.7%. Distributions to investors for the quarter were paid at an annualized rate of 5.6% on contributed capital. Leasing velocity improved during the period and management expects further upward pressure on in-place rents.

Recommendations

Electrical service is adequate for current demand; select panels are nearing the end of their useful life. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $132,000. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 19 months.

The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Domestic water piping is copper and PVC with no evidence of widespread leakage. Elevators were last modernized 11 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $426,000.

Investment Overview

The business plan contemplates a hold period of 7 years with disposition upon achievement of target returns. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Projected levered IRR is 7.2% with an equity multiple of 1.16x over the hold period. The investment thesis is based on stabilizing occupancy, completing the capital plan and capturing rent growth to market.

Key risks include interest rate exposure, tenant rollover, construction cost overruns and local supply additions. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. The community offers a resort-style pool, fitness center, resident clubhouse, package lockers and a dog park. Leasing velocity improved during the period and management expects further upward pressure on in-place rents. Distributions to investors for the quarter were paid at an annualized rate of 3.8% on contributed capital.

Recommendations

Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 31 months. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. Elevators were last modernized 4 years ago and are operating without deficiency. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $300,000. Domestic water piping is copper and PVC with no evidence of widespread leakage.

Domestic water piping is copper and PVC with no evidence of widespread leakage. Windows and exterior doors are in fair condition; sealant replacement is recommended at selected locations. Electrical service is adequate for current demand; select panels are nearing the end of their useful life. The roofing system exhibits localized ponding and sealant deterioration; spot repairs are recommended within 12 months. Asphalt paving shows alligator cracking and should be sealcoated and restriped during the next 29 months. ADA observations include non-compliant slopes at two accessible routes and signage at parking; cost to cure is estimated at $118,000.

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Capital Project Schedule

Project	Category	Start	Completion	Budget	Spent to Date	Status
Security camera upgrade	Life Safety	07/20/23	Q4 2026	$380,000	$366,103	Deferred
Elevator modernization	Energy	12/28/25	Q2 2026	$279,000	$247,270	In progress
Security camera upgrade	Energy	12/05/25	Q3 2026	$692,000	$396,133	In progress
Pool resurfacing	Building	08/18/24	Q1 2027	$614,000	$492,171	Deferred
Signage / monument	Site	11/22/26	Q1 2027	$80,000	$12,419	In progress
Elevator modernization	Life Safety	10/23/25	Q1 2025	$452,000	$460,485	Deferred
HVAC replacement	Energy	09/04/24	Q2 2025	$562,000	$206,200	In progress
Pool resurfacing	Interior	01/13/26	Q1 2026	$256,000	$82,986	Deferred
Amenity renovation	Site	01/30/24	Q3 2026	$725,000	$745,031	Complete
Amenity renovation	Site	08/15/24	Q2 2025	$344,000	$222,197	Approved
HVAC replacement	Energy	10/29/24	Q1 2026	$196,000	$4,288	Approved
Fence replacement	Interior	11/23/23	Q4 2027	$544,000	$10,222	Bidding
Storefront glazing	Interior	01/15/23	Q1 2026	$396,000	$275,071	Bidding
Exterior paint	Building	02/01/24	Q1 2025	$211,000	$142,228	Bidding
Lobby renovation	Interior	04/16/24	Q2 2027	$721,000	$434,372	Approved
Elevator modernization	Site	07/18/26	Q1 2025	$185,000	$19,318	Complete
Storefront glazing	Life Safety	04/24/23	Q3 2025	$883,000	$237,120	Approved
Water heater replacement	Energy	03/18/25	Q2 2025	$466,000	$38,823	Bidding
Door hardware	Interior	09/25/23	Q2 2025	$391,000	$245,406	In progress
HVAC replacement	Life Safety	12/22/23	Q2 2025	$111,000	$32,947	Approved
Signage / monument	Building	09/18/26	Q3 2026	$85,000	$86,071	Deferred
HVAC replacement	Life Safety	12/18/25	Q2 2026	$350,000	$196,736	Bidding
Signage / monument	Life Safety	01/05/25	Q4 2027	$539,000	$144,473	Bidding
Roof replacement - Bldg C	Energy	03/11/25	Q3 2026	$857,000	$699,718	Deferred
Sewer line repair	Building	03/15/24	Q4 2025	$133,000	$39,900	Bidding
Pool resurfacing	Interior	12/11/25	Q3 2026	$622,000	$214,955	Approved
HVAC replacement	Building	08/11/26	Q3 2025	$262,000	$36,633	In progress
Water heater replacement	Energy	07/10/26	Q4 2026	$118,000	$91,126	Deferred
Door hardware	Building	01/31/24	Q2 2026	$294,000	$137,737	Deferred
Fire alarm panel upgrade	Interior	08/06/24	Q2 2026	$457,000	$253,343	In progress
Security camera upgrade	Interior	04/27/24	Q1 2025	$293,000	$186,978	Approved
Elevator modernization	Building	11/06/25	Q1 2025	$726,000	$293,339	Complete
Lobby renovation	Interior	03/04/23	Q4 2027	$253,000	$97,348	Complete
Exterior paint	Building	04/19/23	Q4 2026	$663,000	$171,537	Approved
Water heater replacement	Interior	12/24/23	Q4 2026	$285,000	$146,498	In progress
ADA compliance	Life Safety	11/04/25	Q1 2025	$535,000	$167,494	Complete
Storefront glazing	Life Safety	08/20/25	Q4 2025	$224,000	$169,171	In progress
Landscape / irrigation	Building	06/10/26	Q4 2027	$77,000	$34,789	Deferred
Pool resurfacing	Building	01/29/23	Q1 2025	$856,000	$559,501	Approved
Door hardware	Building	01/20/24	Q1 2027	$762,000	$504,930	Deferred
Landscape / irrigation	Life Safety	02/16/24	Q4 2026	$737,000	$304,385	Deferred

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Summary and Notes

Operating Performance

Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Resident turnover has averaged 9.7% annually with renewal retention above 95.1%. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Net operating income is projected to grow at a compound annual rate of 7.3% over the hold period. Operating expenses totaled $381,000 or approximately 43.67 per square foot, with real estate taxes representing the largest line item.

Debt service coverage ratio was 7.83x on a trailing basis against a covenant minimum of 1.20x. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. The going-in capitalization rate of 7.89% reflects the in-place income and the stabilized occupancy assumption. A reserve for replacements of $250 per unit has been underwritten in the cash flow below net operating income. Operating expenses totaled $90,000 or approximately 42.44 per square foot, with real estate taxes representing the largest line item.

Property Operations

Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Resident turnover has averaged 6.1% annually with renewal retention above 91.2%. Collections for the period were 92.1% of billed charges, with bad debt of 3.6% of gross potential income. Average in-place rent is $2,067 per month against an average unit size of 802 square feet.

Collections for the period were 88.3% of billed charges, with bad debt of 5.2% of gross potential income. Unit interiors feature quartz countertops, stainless appliances, in-unit washer and dryer and plank flooring in select renovated homes. Preventive maintenance schedules for HVAC, elevators and life-safety systems were completed on time during the period. Marketing efforts include digital listings, signage, broker outreach and a resident referral program. Average in-place rent is $2,067 per month against an average unit size of 802 square feet. Service requests are tracked through a work-order system with an average completion time of 4 hours.

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